

FORMAL COMPLAINT AND REQUEST FOR COORDINATED INVESTIGATION

TO:

The Honourable Charles Murray, K.C., Integrity Commissioner, Province of New Brunswick
Paul Martin, FCPA, FCA, Auditor General of New Brunswick
The New Brunswick Ombud, Office of the Ombudsman

FROM: Justin Jullian Liston

DATE: 28/05/2026

RE: Prima Facie Evidence of Gross Negligence in Tax Spending Oversight; Probability of Foreign Interference in Provincial Financial Administration; and Probability of Embezzlement of Public Funds

EXECUTIVE SUMMARY

This complaint presents prima facie evidence, drawn entirely from public records and the Office of the Auditor General's own published findings, demonstrating systemic gross negligence in the oversight of provincial tax expenditures by senior government actors in New Brunswick. The documented control failures are so extensive, persistent, and financially significant that they give rise to reasonable and probable grounds to suspect (i) foreign interference in provincial financial processes, and (ii) embezzlement or misappropriation of public funds.

The evidence presented herein does not require access to sealed financial documents, confidential ministerial briefings, or internal departmental records. The Auditor General's 2025 reports, the Province's 2026–27 budget documents, and publicly available performance audits already establish a pattern of financial mismanagement that would, in any properly governed jurisdiction, trigger immediate forensic investigation. We request that your three Offices coordinate a comprehensive investigation into these matters under your respective statutory mandates.

JURISDICTIONAL BASIS

This complaint is submitted simultaneously to all three Offices because the allegations intersect with each of your respective mandates:

Office of the Auditor General. Under the *Auditor General Act*, you have authority to conduct performance audits, financial audits, and special examinations of provincial departments, Crown

corporations, and agencies. The matters herein concern your published findings and request expanded forensic audit authority into the control failures you have already documented.

Office of the Integrity Commissioner. Under the *Members' Conflict of Interest Act* and the *Conflict of Interest Act* (executive staff and deputy ministers), you have authority to investigate whether senior officials used their positions to further private interests—including interests connected to foreign entities—through the mismanagement of public funds, or whether they failed to disclose conflicts arising from these matters.

Office of the Ombudsman. Under the *Ombudsman Act*, you have authority to investigate complaints of administrative unfairness, maladministration, and gross negligence by provincial government actors. The systemic denial of proper financial oversight described herein constitutes maladministration affecting the rights and interests of all New Brunswick taxpayers, who are entitled to lawful and prudent stewardship of their tax contributions.

ALLEGATION 1: GROSS NEGLIGENCE IN TAX SPENDING OVERSIGHT AND MISMANAGEMENT

The following facts are drawn entirely from the Auditor General of New Brunswick's published 2025 reports and the Province's 2026–27 budget documents. These are not allegations of rumor or speculation; they are documented findings of fact made by the Province's own independent auditor.

Department of Health: \$128 Million in Uncollected Receivables

As of March 31, 2025, the Department of Health had failed to collect approximately \$128 million owed to the Province under pharmaceutical price listing agreements. Some of these receivables date back to 2022. The Auditor General noted that significant delays such as this increase the risk these amounts will not be collected and may also increase the cost of borrowing for the Province. This represents not mere administrative delay but a multi-year abandonment of revenue collection duties affecting taxpayer funds. The Auditor General further found that this \$128 million figure reflects a net year-over-year increase in accounts receivable across the drug programs, indicating a concerning upward trend rather than improvement.

Department of Justice and Public Safety: \$111 Million in Uncollected Federal Disaster Assistance

The Department of Justice and Public Safety holds approximately \$111 million in uncollected disaster financial assistance receivables from the Federal government, with some claims dating to 2014. The Province was forced to write down \$16 million previously recorded for events from 2015 and 2018 because claims were never submitted or processed. A decade-long failure to submit claims documents

either profound incapacity or deliberate neglect of fiduciary duty. The Auditor General made explicit recommendations to improve collection processes, yet the receivables remain outstanding.

New Brunswick Housing Corporation: Absence of Basic Financial Controls

The 2025 performance audit found that the Housing Corporation, responsible for \$196.3 million in annual program expenditures and 4,630 public housing units, had no detailed budget loaded into the government accounting system for the majority of fiscal 2024–25. Only four high-level budget items were uploaded in December 2024. Regional managers lacked visibility into budget-to-actual results, rendering them unable to plan operations or prevent over- or under-spending. The Auditor General concluded that without this information, approvers do not have visibility and cannot adequately plan operations, which increases the risk of the organization being significantly over or under budget. This is a Crown corporation charged with housing vulnerable populations, operating without basic financial oversight.

NB Power Early Retirement Program: \$17 Million in Incentives Without Achieved Savings

NB Power paid \$17 million in retirement incentives while failing to achieve projected savings. The program was altered mid-implementation without financial analysis or board approval, reducing expected savings by 47%. Three employees who received incentives were subsequently rehired on personal service contracts ranging from 178 to 729 days, despite contracts stating they would not be rehired. One contract was extended beyond its initial term. The number of employees grew by 8% between 2022 and 2025 despite the program's stated purpose of workforce reduction. The Auditor General found inadequate information provided to decision-makers, lack of documentation for consistent application of decisions, and exceptions made without proper authority.

Provincial Fiscal Deterioration

After seven consecutive years of surplus, the Province recorded a \$104 million deficit for fiscal 2025. Net debt increased by \$500 million. The 2026–27 budget projects a record deficit of \$1.39 billion, with net debt-to-GDP expected to reach 30.8% and climb to 36.0% by 2028–29. Total borrowing requirements for 2026–27 are forecast at \$4.3 billion. The Auditor General assessed the short-term expense-to-GDP trend as unfavourable. These macro indicators confirm that provincial financial management is deteriorating at the same time that micro-level controls are failing.

These are not isolated incidents. They constitute a province-wide pattern in which senior financial oversight mechanisms have been systematically dismantled or ignored. The cumulative effect is that hundreds of millions of dollars in taxpayer funds are either uncollected, unaccounted for, or expended without proper authorization or monitoring. This is the definition of gross negligence in public financial stewardship.

ALLEGATION 2: PROBABILITY OF FOREIGN INTERFERENCE

Where financial controls are deliberately or negligently dismantled, the risk of foreign interference increases proportionally. The following prima facie indicators, drawn from the same public audit findings, support the reasonable inference that foreign actors may have influenced or benefited from New Brunswick's compromised financial oversight.

Pharmaceutical Receivables and Foreign Corporate Interests

The \$128 million in uncollected pharmaceutical receivables involves agreements with multinational pharmaceutical corporations. The multi-year failure to invoice and collect these amounts, despite the Province being contractually entitled to recovery, creates an unexplained financial benefit to foreign corporate entities at the direct expense of New Brunswick taxpayers. The Auditor General's finding that this represents an upward trend in uncollected receivables suggests not improvement but deepening negligence. When a government systematically fails to enforce its own contractual rights against foreign corporations over multiple years, reasonable grounds exist to investigate whether improper influence has been exercised to maintain this status quo, or whether senior officials have private interests connected to these entities.

Absence of Monitoring and Transparency as Enablers of Foreign Influence

The Housing Corporation's lack of budget visibility, NB Power's lack of board approval for program changes, and the Health Department's lack of invoicing processes all share a common feature: the elimination of transparency. Foreign interference thrives in opacity. The systematic removal of financial monitoring mechanisms across multiple Crown corporations and departments creates conditions highly favorable to external actors seeking to influence procurement, contracting, or policy decisions without detection. When a province cannot track its own spending or collect its own receivables, it cannot determine whether foreign interests have diverted contracts, obtained favorable pricing, or secured other advantages.

Large-Scale Capital Commitments and Foreign Technology Providers

The 2026–27 budget includes a \$9.9 billion investment for nuclear development and significant transportation infrastructure spending with capital spending growth of more than 20% year-on-year. These large-scale, long-term capital commitments involve foreign technology providers, engineering firms, and potential international financing arrangements. The documented absence of proper governance and financial oversight in other major Crown corporations raises reasonable concerns about whether similar oversight failures exist in these high-value procurement areas, creating vulnerability to foreign influence in sectors critical to provincial energy security and infrastructure.

The probability of foreign interference is not asserted as a certainty; it is asserted as a reasonable inference from the documented facts. No properly governed jurisdiction allows \$128 million in foreign

corporate receivables to go uncollected for years while simultaneously dismantling its own budget oversight systems. The combination of these factors creates a compelling case for investigation.

ALLEGATION 3: PROBABILITY OF EMBEZZLEMENT

Embezzlement is the fraudulent appropriation of public funds by a person to whom those funds have been entrusted. The following prima facie indicators, drawn entirely from public audit findings, support the reasonable inference that public funds may have been embezzled or misappropriated by senior officials or their associates.

Budget Invisibility as a Concealment Mechanism

The Housing Corporation's 2024–25 operating budget was not loaded into the government accounting system until December 2024, and then only at four high-level line items totaling \$196.3 million. For the majority of the fiscal year, regional managers could not compare actual spending against budget. This is not administrative inconvenience; it is the deliberate or grossly negligent creation of conditions where unauthorized expenditures cannot be detected in real time. When spending approvers cannot see what has been spent, the opportunity for diversion of funds is maximized. The Auditor General explicitly warned that this increases the risk of the organization being significantly over or under budget, risk that translates directly into opportunity for misappropriation.

Rehiring After Retirement Incentives: Double Payment

Three NB Power employees received early retirement incentives, totaling an undisclosed portion of \$17 million in aggregate program costs, while contractually prohibited from being rehired, yet were subsequently rehired on personal service contracts. One contract was extended beyond its initial term. The payment of incentives to individuals who were already planning to retire, followed by their re-engagement on contracts, suggests potential double-dipping and raises questions about whether incentives were properly authorized or whether funds were diverted through personal service contracts to individuals who had already received separation payments. The Auditor General found that the board was explicitly informed employees would not be rehired, yet rehiring occurred. This constitutes either deliberate deception of the board or post-hoc ratification of improper expenditures.

Persistent Uncollected Receivables as a Concealment Tool

The \$128 million in uncollected pharmaceutical receivables and \$111 million in uncollected disaster assistance represent funds that should be in provincial accounts but are not. When receivables are allowed to accumulate for years without collection effort, they create opportunities for write-offs, negotiated settlements, or compromises that may benefit private parties at public expense. The \$16 million write-down of disaster assistance claims is precisely the type of accounting event that can mask embezzlement or collusion with external parties. The longer receivables remain uncollected, the greater the opportunity

for backdated adjustments, unauthorized settlements, or diversion of recovered funds before they reach the public treasury.

Pattern of Exception-Making Outside Established Rules

The NB Power audit found that exceptions to program rules were made without proper authority, that decision-makers were not given adequate information, and that the plan administrator was not notified as required by the *Pensions Benefit Act*. A pattern of making exceptions outside established rules, whether in Crown corporations or departments, is a classic indicator of potential fraud, as it allows favored parties to receive benefits to which they are not entitled. When exceptions become routine, the line between administrative flexibility and personal favoritism disappears, and the conditions for embezzlement are established.

The probability of embezzlement is not asserted as a proven fact; it is asserted as a reasonable inference from the documented control failures. When financial controls are removed, when budgets are invisible, when receivables are abandoned, and when exceptions to spending rules become routine, the conditions for fraud are not merely present, they are institutionalized.

SYSTEMIC PATTERN ANALYSIS

Viewed individually, each of these findings might be dismissed as administrative failure. Viewed collectively, they form a coherent pattern of systemic financial breakdown across multiple departments and Crown corporations:

Health: \$128 million uncollected over multiple years.

Justice and Public Safety: \$111 million uncollected, with decade-old claims.

Housing Corporation: \$196.3 million in annual expenditures without proper budget oversight.

NB Power: \$17 million in questionable incentives with failed governance.

Provincial deficit: \$1.39 billion projected for 2026–27.

Total identified financial exposure documented in public audits exceeds \$450 million in specific control failures, against a backdrop of record provincial deficits and climbing debt-to-GDP ratios. No credible explanation has been provided for why senior officials allowed these conditions to persist for years, why corrective action was not taken after prior audit recommendations, or why basic financial controls, standard in any private corporation, were absent from provincial government operations.

The probability that these conditions arose from mere incompetence decreases as the number of affected departments increases, the duration of failures lengthens, and the financial amounts grow. The more reasonable inference is that these control failures were tolerated because they served the interests of those

who benefited from the absence of oversight, whether through foreign influence, personal enrichment, or both.

REQUEST FOR RELIEF

We respectfully request that your three Offices undertake the following coordinated actions:

- 1. Forensic Audit.** The Auditor General should initiate a forensic audit of the specific financial control failures identified in the 2025 reports, with particular attention to the \$128 million pharmaceutical receivables, the \$111 million disaster assistance receivables, the Housing Corporation's 2024–25 expenditures and capital project prioritization, and NB Power's early retirement incentive payments and subsequent contract re-engagements. This audit should examine not only whether funds were lost to negligence, but whether any funds were diverted to improper purposes.
- 2. Conflict of Interest Investigation.** The Integrity Commissioner should investigate whether senior officials, including members of the Executive Council and deputy ministers responsible for the affected departments and Crown corporations, have private interests—direct or indirect, domestic or foreign, that may have influenced decisions to dismantle financial controls, delay revenue collection, or approve questionable expenditures. This includes investigating whether any official has interests in pharmaceutical companies, disaster recovery contractors, housing maintenance vendors, or energy sector firms that have benefited from the documented failures.
- 3. Administrative Investigation.** The Ombudsman should investigate whether the systemic absence of financial oversight constitutes maladministration under the *Ombudsman Act*, and whether New Brunswick taxpayers have been denied proper administrative fairness in the stewardship of their tax contributions. The Ombudsman should also examine whether complainants and whistleblowers who may have raised these issues previously were subject to reprisal or obstruction.
- 4. Coordinated Reporting.** We request that your three Offices coordinate your investigations to the extent permitted by law, and that you issue a joint or concurrent public report on your findings, given the interconnected nature of these allegations and the overriding public interest in transparent accountability. The taxpayers of New Brunswick deserve to know whether their money has been lost to negligence, stolen by insiders, or diverted to foreign interests.

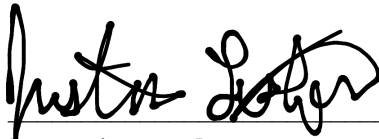
DECLARATION

I, Justin Jullian Liston, declare that the information contained in this complaint is true to the best of my knowledge and belief. The factual assertions herein are drawn entirely from publicly available government documents, primarily the Auditor General of New Brunswick's 2025 reports (Volumes I and III) and the Province's 2026–27 budget documents. The inferences drawn from those facts are my own,

made in good faith, and based on reasonable and probable grounds. I understand that these allegations are serious and that making false statements may have legal consequences. I make this complaint in the public interest and as a resident and taxpayer of New Brunswick.

I further declare that I have not publicly disclosed the specific contents of this complaint prior to filing, and I will refrain from public comment pending the initial assessment by the respective Offices, in order to preserve the integrity of any investigation that may follow.

Respectfully submitted,



[Your Signature]

Justin Jullian Liston

[Your Printed Name]

28/05/2026

[Date]

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